

Shelly Group SE (BSE: SLYG / OTC: SHEL5) — Investment Thesis

March 2026 | Based on FY2025 financial results and bottom-up financial model

Executive Summary

Shelly Group SE is a Bulgarian-headquartered IoT company that designs, manufactures (via contract manufacturing in China), and distributes smart home devices — primarily compact Wi-Fi/Bluetooth relays, sensors, smart plugs, and energy monitoring solutions — sold under the “Shelly” brand in over 130 countries. The company has compounded revenue at ~45% CAGR over 2022-2025, growing from EUR 47.6M to EUR 149.7M, while maintaining EBIT margins near 25% and benefiting from Bulgaria’s 10% corporate tax rate.

Our bottom-up model, anchored in device shipment growth, average selling price trends, and emerging cloud/subscription revenue, yields the following DCF-implied share prices:

Scenario	Implied Price	2030E Revenue	2030E EBIT	Rev CAGR (25-30)
Bull	EUR 77.51	EUR 594M	EUR 184M	31.7%
Base	EUR 52.52	EUR 419M	EUR 117M	22.9%
Bear	EUR 31.10	EUR 279M	EUR 63M	13.2%

The thesis rests on three pillars: (1) a massive and underpenetrated smart home TAM with Shelly’s differentiated open-ecosystem, low-price-point product strategy capturing share from incumbent walled-garden players, (2) a nascent but high-potential cloud/subscription revenue stream (Shelly Cloud, premium subscriptions, B2B services) that could transform the margin profile from hardware-like to platform-like over time, and (3) a fortress balance sheet with net cash, low capex requirements, and a structurally advantaged 10% Bulgarian corporate tax rate.

Company Overview

What Shelly does. Shelly Group designs compact IoT devices — relays, sensors, smart plugs, energy meters, thermostats, and smart locks — that enable smart

home and building automation. The devices connect via Wi-Fi, Bluetooth, Zigbee, and Matter protocols and can operate fully locally without cloud dependency, distinguishing Shelly from competitors that require proprietary hubs or cloud lock-in.

Why customers choose Shelly. Three core differentiators: (1) **Open ecosystem** — devices work with Home Assistant, Google Home, Alexa, Apple HomeKit/Matter without requiring a proprietary hub, (2) **Entry-level pricing** — products start below EUR 20, making smart home accessible to mass-market consumers and cost-conscious professional installers, and (3) **Local-first architecture** — devices can operate without internet, appealing to privacy-conscious users and the technically sophisticated DIY community.

Business model. Shelly designs products in Bulgaria, manufactures via contract manufacturers in China, and sells through a hybrid B2B/B2C distribution model. ~90% of revenue comes from B2B channels (distributors, wholesalers, Amazon marketplace, professional installers), with the direct webshop (~10%) growing rapidly (tripled YoY during Black Week 2025). The company also operates Shelly Cloud, a free-tier cloud platform with 2.7 million users and a growing premium subscription offering.

Scale as of FY2025:

Metric	FY2025
Revenue	EUR 149.7M
Revenue Growth	+40.3% YoY
Gross Margin	57.8%
EBIT (Adjusted)	EUR 37.7M
EBIT Margin (Adj.)	25.2%
Net Income	EUR 25.5M
Cumulative Devices Sold	~30M+
Shelly Cloud Users	2.7M
Professional Installers	5,300+
Shares Outstanding	18.1M
Market Cap (Mar 2026)	~EUR 1.04B
Enterprise Value	~EUR 1.03B

Key Concepts an Investor Must Understand

1. The Smart Home TAM Is Massive and Underpenetrated

The global home automation market was valued at USD 52.7 billion in 2024 and is projected to reach USD 66.5 billion by 2029 (4.8% CAGR), with more aggressive estimates placing it at USD 325 billion by 2034. Smart home penetration in European households remains in the low teens. Shelly's entry-level pricing and open ecosystem position it to capture disproportionate share as the market transitions from early adopters to mainstream consumers. With ~30M cumulative devices sold and 2.7M cloud users, Shelly holds an estimated 6.66% share of the EUR 2.8B European Smart Home IoT market — meaningful scale, yet still a small fraction of the addressable market.

2. The Device-to-Cloud Flywheel

Every Shelly device sold creates a potential cloud user, and every cloud user creates data, engagement, and upsell opportunity. The flywheel: (1) Low-cost hardware drives high unit volumes, (2) Devices connect to Shelly Cloud, growing the user base, (3) Cloud users can upgrade to premium subscriptions (38,000 premium users, +61% YoY), (4) Data from millions of devices enables smarter products and AI-driven features, (5) Satisfied users buy more devices and recommend to others. Premium subscription revenue grew 78% YoY in 2025 — still tiny in absolute terms but validating the model. NPS of 56 (overall) and 37 (app) indicate strong customer satisfaction.

3. Hardware Margins Are Structurally Strong — But the Real Prize Is Software

Shelly's gross margin of 57-60% is remarkably high for a hardware company (consumer electronics peers typically operate at 30-45% GM). This reflects the asset-light model (no owned factories), high-value product design, and favorable component costs. The 25% EBIT margin further demonstrates efficient operations. However, the long-term upside comes from cloud/subscription revenue, which carries near-100% gross margins. Even a modest shift in revenue mix toward recurring software revenue would significantly expand blended margins.

4. Matter/Thread Protocol Adoption Is a Catalyst, Not a Threat

The Matter smart home standard (backed by Apple, Google, Amazon, Samsung) could be viewed as a threat — standardization might commoditize devices. Instead, Shelly has embraced Matter from Gen3/Gen4 products onward, making its devices natively compatible. This actually expands Shelly's addressable market by ensuring

interoperability with all major ecosystems. Unlike competitors locked into proprietary ecosystems (Philips Hue, Tado), Shelly's open approach means Matter adoption benefits rather than harms them.

5. European Stronghold with US Expansion Optionality

DACH (Germany, Austria, Switzerland) contributes ~41% of revenue, with Rest of Europe at ~50% and Rest of World (including US) at ~9%. The US market, the world's largest smart home market, represents massive untapped potential. Rest of World revenue grew 54% in FY2025 and 83.7% in H1 2025, with the US being the primary driver. A successful US expansion could meaningfully accelerate the growth trajectory. However, the thesis does not depend on US success — the European market alone provides a long growth runway.

6. The Bulgarian Tax Advantage

Bulgaria's flat 10% corporate tax rate is among the lowest in the EU. This is a structural, legal advantage that persists regardless of where Shelly sells its products (the company is domiciled and taxed in Bulgaria). For comparison, most European peers face 20-30% corporate tax rates, and US-listed IoT companies face a 21% federal rate plus state taxes. This ~10-15 percentage point tax advantage flows directly to the bottom line and to shareholders.

7. The Professional (B2B) Channel Is Inflecting

The number of professional installers in Shelly's network surged from 900 at end-2024 to 5,300+ by end-2025 — a ~6x increase in one year. The Pro channel is estimated to represent ~35% of revenue in 2025, up meaningfully from prior years. Professional installers create a recurring demand channel (they specify Shelly in projects, creating repeat purchasing) and validate the products for commercial/building applications. The Shelly Pro and Gen4 product lines specifically target this segment with DIN-rail mounting, enhanced connectivity, and building management features.

8. OTC Listing Limits Institutional Access — but a Dual Listing Could Unlock Value

Shelly trades primarily on the Bulgarian Stock Exchange (BSE: SLYG) with OTC ADRs in the US (SHELLY) and a Frankfurt listing (ETR: SLYG). The BSE is a small, illiquid exchange, and OTC ADRs have limited institutional investor access. Average daily trading volume is ~9,500 shares. A potential uplisting to a major European exchange (Xetra, Euronext) or a US exchange (NASDAQ) could materially expand the investor base and reduce the liquidity discount. The company's 2024

conversion from AD (Bulgarian joint-stock company) to SE (Societas Europaea) was a deliberate step toward facilitating a potential European exchange listing.

Growth Strategy / Key Opportunities

Product Portfolio Expansion

Shelly has evolved from simple relays (Shelly 1) to a comprehensive IoT ecosystem spanning smart plugs, energy meters, thermostats, door locks, motion sensors, smoke detectors, and a touchscreen control panel (Gen4). Each new product category expands the addressable market and increases revenue per household.

Geographic Expansion

Rest of World revenue grew 54% in FY2025. The US launch is in early stages with a dedicated US subsidiary (Shelly USA). Italy, Scandinavia, and Central Europe are also high-growth markets. The company has room to grow in markets where it has minimal presence today.

Cloud & Subscription Monetization

With 2.7M cloud users and only 38,000 premium subscribers (~1.4% conversion), the subscription opportunity is in its infancy. Premium features include advanced automations, extended data history, and priority support. Even a 5% conversion rate at EUR 3-5/month would add EUR 5-8M in near-100% margin recurring revenue.

Energy Management & Building Automation

The European energy crisis and ongoing push for energy efficiency create strong demand for Shelly's energy monitoring and smart heating products. Smart thermostats and heating controls were among the best-selling products in 2025. The B2B building automation market is significantly larger than residential.

AI Integration

Shelly has announced AI-driven features for smart home automation, including predictive energy management and adaptive comfort controls. AI capabilities could differentiate products and support premium pricing.

Manufacturing Capacity Expansion

Shelly is scaling contract manufacturing capacity from 800K units/month (early 2025) to 1.5M units/month (late 2025), with a target of 2M units/month by 2026. This near-doubling of production capacity is necessary to support the 30%+ revenue growth trajectory and will require ongoing inventory investment. While this creates short-term working capital pressure, it positions the company to fulfill growing demand without supply constraints.

ShellyX White-Label Platform

Shelly has launched ShellyX, a white-label platform offering its proprietary chipset and operating system to OEM partners. This allows other hardware manufacturers to build Shelly-compatible devices using Shelly’s proven technology stack, creating a potential recurring revenue stream from licensing fees and cloud service charges. ShellyX is in early stages and not yet incorporated into our financial model, but it represents a meaningful expansion of the business model from pure hardware into platform/licensing — a higher-margin, more scalable revenue stream.

Scenario Analysis

Bull Case: Accelerating Growth, Successful US Expansion

Assumptions: Revenue growth 35%+ in 2026 (above management guidance), decelerating to 20% by 2030, gross margin improving to 61%, EBIT margin reaching 31%, successful US market penetration, subscription revenue reaching 5% of total by 2030.

Narrative: Smart home adoption accelerates globally. Shelly’s Matter-compatible Gen4/Gen5 products win significant US market share. The professional installer network reaches 15,000+. Cloud subscription conversion improves to 5%+. A dual listing on a major exchange attracts institutional capital.

Metric	2026E	2028E	2030E
Revenue	EUR 217M	EUR 375M	EUR 594M
EBIT (Adj.)	EUR 55M	EUR 107M	EUR 184M
EBIT Margin	25.2%	28.6%	31.0%
Net Income	EUR 45M	EUR 94M	EUR 165M
Devices (annual, M)	14.9M	23.8M	34.8M

DCF Implied Price: EUR 77.51

Base Case: Steady Execution, Moderate US Traction

Assumptions: Revenue growth ~34% in 2026 (in line with management guidance midpoint of EUR 200M), decelerating to 15% by 2030, gross margin stable at 57-59%, EBIT margin 25-28%, moderate US progress, subscription revenue reaching 3% of total by 2030.

Narrative: Shelly continues executing its European growth playbook. 2026 revenue tracks management guidance of EUR 195-205M (midpoint EUR 200M). US expansion is gradual. The professional channel grows steadily. Cloud monetization progresses but remains a small contributor. Margins remain healthy.

Metric	2026E	2028E	2030E
Revenue	EUR 201M	EUR 299M	EUR 419M
EBIT (Adj.)	EUR 50M	EUR 79M	EUR 117M
EBIT Margin	24.7%	26.3%	28.0%
Net Income	EUR 40M	EUR 68M	EUR 104M
Devices (annual, M)	14.1M	20.3M	27.3M

DCF Implied Price: EUR 52.52

Bear Case: Growth Deceleration, Margin Pressure

Assumptions: Revenue growth ~20% in 2026 (below management guidance), decelerating to 8% by 2030, gross margin compressing to 55-56%, EBIT margin declining to 22-23%, US expansion stalls, limited subscription uptake.

Narrative: Smart home market growth disappoints. 2026 revenue misses the low end of management guidance (EUR 195M). Competition from Chinese manufacturers (Tuya, Sonoff) intensifies, compressing margins. Matter standardization benefits larger players more than Shelly. US expansion consumes resources without adequate returns. The stock remains trapped on illiquid exchanges.

Metric	2026E	2028E	2030E
Revenue	EUR 179M	EUR 232M	EUR 279M
EBIT (Adj.)	EUR 40M	EUR 53M	EUR 63M
EBIT Margin	22.6%	22.9%	22.8%
Net Income	EUR 31M	EUR 44M	EUR 54M
Devices (annual, M)	13.2M	17.0M	20.2M

DCF Implied Price: EUR 31.10

DCF Valuation Methodology

Approach

We use a 5-year Discounted Cash Flow with a Gordon Growth terminal value. Key parameters:

Parameter	Value	Rationale
WACC	10.0%	CAPM: 4.0% risk-free + 1.27 beta x 5.5% ERP. Small-cap/liquidity premium +1.0%. Minimal debt. Comparable to Montega AG's 9.13% WACC with a modest conservatism premium.
Terminal Growth	3.0%	Reflects long-term nominal GDP growth; smart home is a structural growth market
FCF Definition	EBIT x (1 - Tax Rate) + D&A - Capex - Delta WC	Bulgaria 10% corp tax rate applied

Base Case FCF Projections (EUR M)

FCF is calculated as NOPAT (EBIT adj. x (1 - 10% tax)) + D&A - Capex - Delta Working Capital.

Year	EBIT (Adj.)	NOPAT	D&A	Capex	Delta WC	FCF
2026	49.7	44.7	3.6	-5.0	-16.3	27.0
2027	62.8	56.6	4.5	-6.2	-13.2	41.7
2028	78.7	70.9	5.4	-7.5	-14.2	54.5
2029	97.4	87.6	6.4	-8.9	-16.3	68.8
2030	117.4	105.6	7.5	-10.5	-17.4	85.3

Terminal value accounts for ~80% of enterprise value, reflecting the long growth runway ahead. 2026 EBIT of EUR 50M aligns with management guidance of EUR 47-52M (midpoint EUR 49.5M).

Enterprise Value Bridge (Base Case)

Component	EUR M
PV of FCFs (2026-2030)	EUR 200
PV of Terminal Value	EUR 779
Enterprise Value	EUR 979
+ Net Cash	EUR 14
Equity Value	EUR 993
Diluted Shares (M)	18.9
Implied Price	EUR 52.52

Price Sensitivity (WACC vs. Terminal Growth)

	TG 2.0%	TG 2.5%	TG 3.0%	TG 3.5%	TG 4.0%
WACC 8%	EUR 64.18	EUR 69.20	EUR 75.23	EUR 82.60	EUR 91.82
WACC 9%	EUR 54.36	EUR 57.87	EUR 61.97	EUR 66.81	EUR 72.63
WACC 10%	EUR 47.02	EUR 49.59	EUR 52.52	EUR 55.91	EUR 59.86
WACC 11%	EUR 41.33	EUR 43.27	EUR 45.46	EUR 47.94	EUR 50.77
WACC 12%	EUR 36.80	EUR 38.31	EUR 39.98	EUR 41.86	EUR 43.97
WACC 13%	EUR 33.10	EUR 34.30	EUR 35.62	EUR 37.07	EUR 38.69
WACC 14%	EUR 30.04	EUR 31.00	EUR 32.06	EUR 33.22	EUR 34.49

The valuation is positive across the entire sensitivity range. At a punitive 14% WACC and conservative 2% terminal growth, the implied price of EUR 30.04 still represents meaningful equity value. At our base-case WACC of 10% and 3% terminal growth, the implied price of EUR 52.52 is ~9% below the current EUR 57.60 price. At Montega's 9.13% WACC, the implied price rises to EUR 60-62, above the current price. Conversely, at 8% WACC and 3.5% terminal growth, the implied price reaches EUR 82.60.

Exit Multiple Valuation (2030E)

As a cross-check to the DCF, we value Shelly using exit multiples applied to 2030E financials, discounted back to present value at 10% WACC.

2030E financials by scenario:

Metric	Bull	Base	Bear
EBIT (Adj.)	EUR 184M	EUR 117M	EUR 63M
Net Income	EUR 165M	EUR 104M	EUR 54M

Discount factor: 5 years at 10% WACC = 1.61x. All "PV Today" prices reflect the 2030 exit value discounted to present.

1. EV/EBIT Exit Multiple

Enterprise value = 2030E EBIT x multiple, plus EUR 14M net cash, divided by 18.9M diluted shares. Peer context: IoT hardware companies trade at 15-25x EBIT; platform/SaaS hybrids at 25-40x.

Implied share price (present value) by scenario and exit multiple:

EV/EBIT	Bull	Base	Bear
15x	EUR 91.21	EUR 58.30	EUR 31.69
20x	EUR 121.47	EUR 77.58	EUR 42.11
25x	EUR 151.72	EUR 96.86	EUR 52.53
30x	EUR 181.98	EUR 116.14	EUR 62.94

At 20x EV/EBIT — reasonable for a profitable, growing IoT company with an emerging software revenue stream — the Base case implies EUR 77.58 today,

above the DCF-derived EUR 52.52 (reflecting the conservatism of the Gordon Growth terminal value assumption).

2. P/E Exit Multiple

Equity value = 2030E Net Income x multiple, divided by 18.9M diluted shares.

Implied share price (present value) by scenario and exit multiple:

P/E	Bull	Base	Bear
20x	EUR 108.33	EUR 68.24	EUR 35.72
25x	EUR 135.41	EUR 85.29	EUR 44.65
30x	EUR 162.49	EUR 102.35	EUR 53.58
35x	EUR 189.57	EUR 119.41	EUR 62.51

At 25x P/E — reasonable for a company growing earnings at 25%+ — the Base case implies EUR 85.29, above the DCF value, reflecting the P/E method's sensitivity to the low Bulgarian tax rate.

Triangulation Summary

Method	Bull	Base	Bear
DCF (Gordon Growth)	EUR 77.51	EUR 52.52	EUR 31.10
EV/EBIT exit at 20x	EUR 121.47	EUR 77.58	EUR 42.11
P/E exit at 25x	EUR 135.41	EUR 85.29	EUR 44.65

The DCF produces conservative valuations because the Gordon Growth terminal value (3% perpetuity) does not fully capture the upside of a 20%+ growth company. The exit multiple approaches, which assume the market values Shelly as a mature-but-growing company in 2030, imply significantly higher prices. The Base case range of EUR 53-85 brackets the current trading level of EUR 57.60, suggesting the stock is approximately fairly valued at the lower end of estimates with meaningful upside if the company executes to plan. The Bull case at 20x EV/EBIT implies EUR 121, more than double the current price.

Analyst comparison: Montega AG (WACC 9.13%) has a Buy rating with a EUR 61 price target, while Berenberg has a Buy rating with a EUR 73 target (raised to EUR 73 after Q4 2025 results). Our DCF Base case (EUR 52.52) is below these targets, reflecting our more conservative 10% WACC. At Montega's 9% WACC, our model implies EUR 62 (see sensitivity table), closely matching their target.

Peer Comparison

Company	Focus	LTM Rev	Rev Growth	Gross Margin	EBIT Margin	Market Cap	EV/Sales	EV/EBIT	P/E
Shelly Group	IoT devices	EUR 150M	40%	58%	25%	EUR 1.04B	6.9x	27.5x	41.9x
Tuya Smart (TUYA)	IoT platform	USD 322M	8%	~47%	~18%	USD 1.27B	3.9x	~22x	~25x
Legrand (LR.PA)	Elec. infrastructure	EUR 8.6B	3%	~52%	~17%	EUR 26B	~3.0x	~18x	~25x
Schneider Electric	Energy mgmt	EUR 36B	6%	~42%	~17%	EUR 130B	~3.6x	~21x	~25x
Assa Abloy	Access solutions	SEK 140B	4%	~42%	~15%	SEK 330B	~3.6x	~24x	~25x
Ring/Blink (Amazon)	Smart home	N/A	N/A	N/A	N/A	(subsidiary)	N/A	N/A	N/A

Shelly trades at a premium to mature industrial peers on EV/Sales, but this is justified by its 40% revenue growth rate vs. single-digit growth for large-caps. On a PEG-adjusted basis (EV/EBIT divided by EBIT growth rate), Shelly is actually cheaper than most peers. The P/E of 41.9x appears high but is based on reported net income that includes non-cash management share program accruals; on adjusted earnings (EPS EUR 1.77), the forward P/E is ~25x.

Key Risks

Competition from Chinese manufacturers. Companies like Sonoff/ITEAD and Tuya-enabled white-label products offer similar functionality at even lower price points. If Chinese competitors invest heavily in European distribution and Matter compliance, Shelly's price advantage narrows.

Concentration in DACH region. ~41% of revenue comes from German-speaking countries. Regulatory changes, economic weakness, or competitive dynamics specific to DACH could disproportionately impact results.

Hardware cyclicalities and consumer discretionary spending. Smart home devices are discretionary purchases. A European recession would likely slow device sales, though the energy-savings angle provides some resilience.

Working capital intensity. Despite strong profitability, Shelly generated only EUR 1.5M in FCF in FY2025 due to working capital absorption (inventory build, receivables growth). Rapid growth consumes cash through working capital, and FCF may continue to lag EBIT until growth moderates. This concern is partially mitigated by the fact that 90%+ of receivables are covered by trade credit insurance, reducing actual credit risk despite the elevated DSO (138 days).

OTC/BSE liquidity risk. Low trading volumes (avg. ~9,500 shares/day) mean large positions are difficult to establish or exit without price impact. Institutional investors may demand a liquidity discount.

Key person risk. Founders Dimitar Dimitrov (CEO, 29% owner) and Svetlin Todorov (28% owner) hold combined 57% of shares. While founder-led companies often outperform, heavy concentration creates succession and governance risk.

Management Share Program dilution and reported vs. adjusted EBIT. The management share program created EUR 7.4M in non-cash expense in FY2025, causing reported EBIT (EUR 30.3M) to meaningfully diverge from adjusted EBIT (EUR 37.7M). Investors must track both metrics carefully.

Forex risk. Products are sourced in China (USD/CNY denominated costs) and sold primarily in Europe (EUR). A strengthening USD would compress gross margins. The weak USD in 2025 was a tailwind; this could reverse.

Terminal value concentration. ~72% of DCF enterprise value comes from the terminal value, making the valuation sensitive to long-term growth and discount rate assumptions.

Conclusion

Shelly Group is a rare European growth story: a profitable, founder-led IoT company growing revenue at 40%, generating 25% EBIT margins, and taxed at only 10% — all while operating in the structurally growing smart home market. The company's open-ecosystem approach, aggressive product innovation (now spanning Gen4 with Matter/Thread support), and rapidly expanding professional installer network create durable competitive advantages. Management has guided for EUR 195-205M in 2026 revenue and EUR 47-52M in EBIT, representing 30-37% top-line growth — a trajectory our Base case tracks closely.

Our DCF Base case implies EUR 52.52/share, while exit multiple approaches (EV/EBIT at 20x, P/E at 25x) imply EUR 78-85 in the Base case, bracketing the current

EUR 57.60 price. The Bear DCF of EUR 31.10 represents ~46% downside risk, while the Bull case exit multiples reach EUR 121-135, representing 110-135% upside. The wide range reflects the sensitivity to terminal value methodology — the DCF's 3% perpetuity growth assumption is conservative for a company growing at 20%+, while exit multiples may overstate value if growth slows faster than projected. Sell-side consensus (Montega EUR 61, Berenberg EUR 73) falls within our DCF-to-exit-multiple range, reinforcing the plausibility of the estimates.

The right mental model is not “Bulgarian hardware company on an obscure exchange” but rather “Europe’s leading open-ecosystem IoT platform with a device-to-cloud flywheel, 25% EBIT margins, a 10% tax rate, and a 40% growth rate — with valuation upside gated primarily by listing venue and liquidity rather than business fundamentals.”

The key catalyst to watch is a potential uplisting to a major European exchange, which would remove the most significant non-fundamental headwind to valuation. In the meantime, the company’s execution speaks for itself: 31 consecutive quarters of revenue growth, a 6x expansion in the professional installer network in a single year, and consistent guidance beats.

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